Moody's Corp MCO

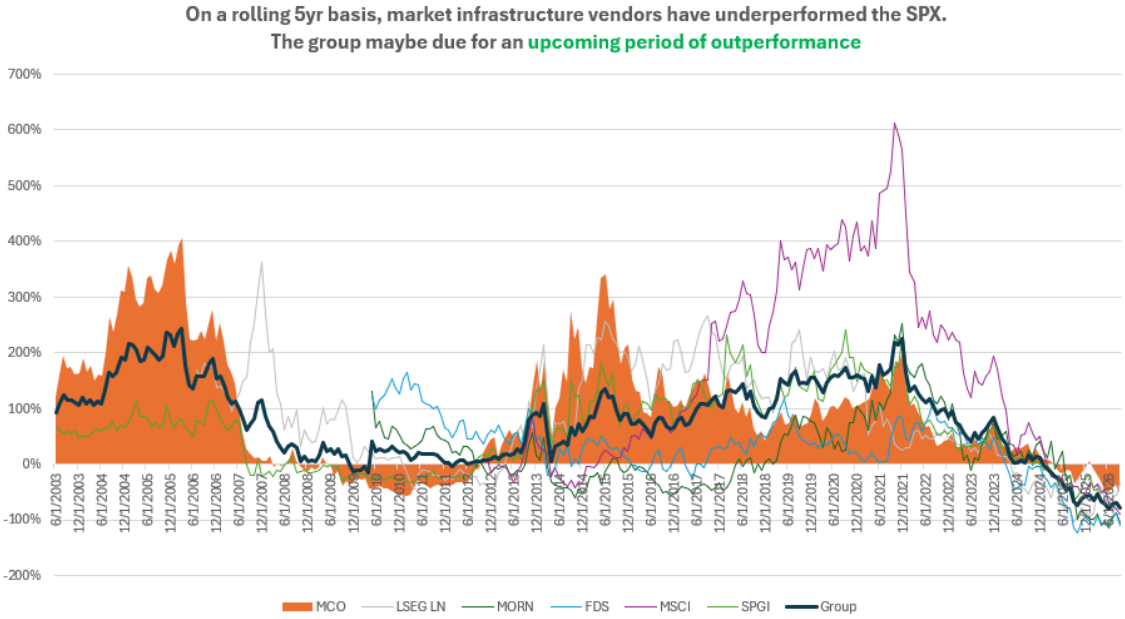
October 05, 2026 - 1:00pm EST
by amorfati

			2026	2027
Price:	447.81	EPS	16.94	19.19
Shares Out. (in M):	173	P/E	0	0
Market Cap (in $M):	77,235	P/FCF	0	0
Net Debt (in $M):	5,591	EBIT	0	0
TEV (in $M):	82,826	TEV/EBIT	0	0

Description

Executive Summary

Market infrastructure and data companies on a rolling 5 year basis have underperformed the S&P 500 index for a few years now. Empirically, even good companies periodically underperform broader indexes, only to re-assert their outperforms in subsequent periods. I think this dynamic is unfolding for several toll-booth like fintech companies, such as Moody's.



Moody's and its peers like London Stock Exchange, MSCI, S&P Global, Factset, and Morningstar have spent some time in the timeout zone for 5+ years. In 2026, SaaSpocalypse also weighed on the group as fear grips on whether AI may supplant the software supplied by these companies. Moody's did not experience a multiples drop as have its peers; still, the stock barely moved in 5 years (up 24% cumulative).

I am long Moody's because

1. ratings business is strong as ever and AI capex demand and debt maturity wall in 2028/29 are boosting debt issuance, good for Moody's business;
2. I think people's got AI the wrong way. AI is extremely data hungry. AI will not be bad for Moody's software and data business but good. As compute shortage gets resolved, consensus will realize once again the scarcity is back in the digital layer, in the form of hard-to-replicate proprietary data and entrenched industry software that AI will work with. This may be a variant view at this point, but if true, Moody's analytics business (~50% of revenue at 36% EBITDA margin) may present greater upside instead of regarded as the lame cousin to ratings business at 63% EBITDA margin. I think the analytics business is good optionality and have greater margin improvement in coming years if AI proves to be a complementary rather than vampiric component to proprietary software-data demand .

Notwithstanding the positives, Moody's not cheap right now on conservative projections, but even on cautious projections not factoring AI demand, I see NPV at $400/sh, so you get to buy Moody's for the upside torque if (a) short term AI capex demand makes it rain on the ratings business; and/or (b) AI truly boosts Moody's analytics business on a structural level.

Company Overview

Moody's has operated the same 2 business segments for over two decades. The first segment is called Moody's Investor Services (MIS) which provides ratings on various kinds of debt issued; Moody's earns fees on the debts it rates, charged both as a percentage of notional value of the debt and a flat fee for the number of debt issued. Moody's also charges non-issuance driven, retainer fees for clients who are frequent debt issuers. Moody's second segment is called Moody's Analytics (MA) which provides various financial software and data to Moody's clients spanning a several verticals. In this second segment, Moody's charges fees for using its data and software. Some of such fee is usage based; some is flat fees on a per license, per headcount basis. The 2 segments are siloed by compliance wall, thus operating distinctly. In one anecdote, a long term employee on the analytics side never knew how much the ratings side charged for its services.

The ratings business. Moody's Investor Services (MIS) is the business for which Moody's is famously regarded for having moat. In 2026, this is a $4.5 billion

sales business with 63% EBITDA margin. Ratings are typically a prerequisite condition of purchase by debt investors. Such ratings preconditions are generally regulatory mandates such as bond index inclusion rules, capital requirement rules for banks and insurers investors. For debtors, paying for ratings is necessary cost of funding. This won't change. Within the ratings business, Moody's and S&P have a duopolistic position in North American and Europe and strong position globally because market convention (NRSRO) effectively mandate that debt issuers get TWO ratings, often from S&P and Moody's instead of from any other raters. The distant third ratings agency Fitch has been striving to catch up for decades but to no vail. Other smaller ratings agencies such as Morningstar and Krolls ratings also don't hold as much weight. Moody's and S&P ratings are the gold standards of debt rating.

FRANCHISE	MOODY'S	S&P GLOBAL	READ
Ratings revenue	$4,119m	$4,724m	S&P 15% larger
Ratings margin	63.6% adj. op.	65% adj. op.	Broadly equivalent
Ratings transaction mix	67%	52%	MIS materially more cyclical
Analytics / MI revenue	$3,599m	$4,916m	S&P 37% larger
Analytics / MI margin	33.1%	34%	Effectively identical
Index franchise	none	$1,850m @ 71%	The structural gap
Commodities / Energy	none	$2,299m @ 48%	—
Mobility	none	$1,747m @ 40%	—

Within the ratings business are 4 distinct operations:

1. Non-financials debt ($2.1 billion; 27% recurring) rates all kinds of debt issued by non-financials companies. This is most profitable ratings business. IG debt procures the greatest dollar volume while HY and spec debt fetches higher bps per dollar. Revenue per issuer per year is a core KPI here. The metric improves when rates are declining as debtor opportunistically refinances. Moody's and S&P are oligopoly here with little competition;
2. Financials ($760mm 44$ recurring) rates debt issued by financials such as banks, insurers, and credit lending firms. Private credit ratings is housed in here.
3. public, projects, and infrastructure funding ($635mm 31% recurring) rates debt by governments, public projects, and infrastructure projects. While the public financing segment grows slow and steady, this line is now buoyed by data center financing, becoming the fastest growing segment of Moody's.
4. structured credit ($560mm 44% recurring) rates securitized debt, ABS including mortgages, datacenters etc. This segment halved from $868mm in 2007 to $400mm in 2008 and still hasn't recovered pre-GFC peak. Moody's and S&P retrenched from this business via tightening standards while Morningstar and Kroll became replacements of raters.

Economics of the ratings business. (A) The principal operating cost is employing personnel to produce the ratings. This overhead is quite fixed in the short term because adequate headcounts must be kept even in quiet markets but can handle more ratings in busier markets. This creates operating leverage over the short term - though incentive comps is more variable. **(B)** The principal revenue driver is debt issuance cycle which comprise of (i) refinancing needs; (ii) interest rates; (iii) deal flows which in turn require LBO financing. **(C)** A codependent revenue driver is fees charged on the debt rated. Moody's charges 3 fees: (1) Transactional fees charged as bps on the dollar of debt raised on new issue or refinancing. This is usually several bps on the $. This is 2/3 of MIS's revenue or $2.7 billion. (2) Surveillance fees, a fixed dollar amount with annual 3-4% price escalators while an issuers' debt is outstanding. This fee is 10s of bps. (3) Retainer fee arrangement with frequent issuers. This is less beholden to debt volume issued but may be less margin friendly if that issuer also take advantage of this fee to get Moody's to do more work. (*4*) Moody's also charge Rating Assessment Services (scenario analysis) and in Asia 2nd opinion fee; Moody's is growing here, but it's very small. How much Moody's charge on the ratings is chiefly a function of the issuer and its debt, NOT who the analyzer of the debt, so Moody's technically can get juniors to cover the debt and take more margin (but this erode ratings quality over time). **(D)** Moody's charges a ongoing surveillance fee on the debt its rated as long as the debt is outstanding. This recurring revenue and constitutes 1/3 of ratings revenue. The 2/3 ratings revenue are made as onetime fee on new debt issued and rated for the first time.

The analytics business. Since the early 2000s, Moody's earned meaningful revenue from supplying financial software and data to various industries, such as banks, credit analysts, and insurance firms. The specific software sold have shuffled but the division remains. As a segment, the division has grown at 9% organic growth over the past decade. In 2026, the division is a $3.8 billion sales with 38% operating margin. The segment comprise of several businesses:

1. Bank software ($700 million): This is enterprise software for conventional banks, which use Moody's software for actual banking activities such as managing loans, reporting, compliance, etc. The banking business fends competition against internal bank models (which may be more available to large banks) and specialist vendors which overlaps in competition but are not perfect substitute of Moody's banking software. The banking business supplies banks lending software. There are a few products here. The segment is a weak spot for Moody's, with software noted as dated. Mgmt is now guiding back to HSD ARR, with Lending Suite (cloud product) driven renewal.
2. Insurance software (~$600 million): This business is the 2021 acquired RMS. Property and casualty insurers use Moody's insurance models software to project losses and manage underwriting risks. There are 3 main competitors here. Customers often use multiple vendors, so it's not a winner-take-all market. Moody's and Verisk (cheaper) are the two dominant players. Increasingly, Moody's pushing customers to migrade to the company's cloud platform over. Less than 50% of customers have migrated. More migration from on-premise to cloud will be mechanical lift of ARR. The insurance competitor is Verisk, at roughly on par/larger. Customers use multiple models and may churn expensive ones. Moody's the more expensive one. Insurance addressable market of 2,500 P&C companies. Once customers move onto the cloud, they do not switch.

3. KYC software ($500 million): This is the fastest growing software business for Moody's. Moody's supplies software to screen sanctioned entities. It's packaged as a software/terminal hobbled together from a few acquisitions. The KYC market is quite fragmented. Moody's got a 12-15% market share as of 2026. A handful of other players include (i) LexisNexis; (ii) Dow Jones; (iii) LSEG; (iv) ComplyAdvanage; (v) Nasdaq. Moody's got a 15% market share, but its Orbis-backed ownership proprietary data affords it some competitive edge against false positives. KYC business enjoy regulatory tailwinds currently strong.
4. Bloomberg-like Moody's terminal (~$1 billion): For credit work, Moody's has software terminal like Bloomberg, supplying credit research, economic analysis and related tools. The franchise provides original rating research, analysts content. This business competes with S&P research, Fitch research, Bloomberg, sell-side research. Monetization is on a per-seat basis, like Bloomberg. This line grew the slowest for Moody's at 6% y/y for Q2/26, also most exposed to AI-disintermediation as AI supplant read-summarize function and shrinks analyst headcounts. In this business, the 3 other main players are S&P, Credit Benchmarks, and Bloomberg. Moody's pretty strong here.
5. Proprietary data (~$1 billion). Moody's also supplies (A) proprietary credit-related data derived from its ratings business; and (B) Orbis / Bureau van Dijk database containing detailed corporate ownership/structure on 630 million entities globally. This database was acquired in 2017 for $2.3 billion at ~$400 million revenue. The database is continually distilled from fetching raw data from Moody's 160 unique paid sources in 32 countries and translating the data into Moody's data structure by specialized human labor of 80 global researchers. These proprietary data cannot be easily replicated by AI. There are handful of competitors here including (i) Dun & Bradstreet, (ii) Experian, (iii) CRIF, (iv) S&P Capital IQ, and (v) LSEG. Moody's and Dun & Bradstreet are the dominant duo. Monetization is on a consumption basis; customer pay per query. 30% of the database revenue is royalties back to the unique sources feeding the database, so margin for the database business is capped at 70%.

Economics of the analytics business. (A) While respectably profitable, this segment's economics is less attractive than that of the rating business. The analytics business has been somewhat of a Frankenstein hobbled together from numerous acquisitions. **(B)** In contrast to the ratings business which enjoys a bulk of its organic growth from growing volume (of debt rated), the analytics business enjoys most of its topline growth from annual 8-10% pricing gains rather than volume. Cross-selling amongst the different businesses within the analytics segment is low, at 1.1 product per customers. This should be attributed to the analytics segment being a hodgepodge of software for disparate verticals. The software and data contracts span 3 to 5 years; multi-years gets price discount. Contract sizes are a $1000s to $5mm. If organic growth rate has been low, I see no reason to assume this organic growth rate will pick up; instead, acceleration in growth rate will have to come from greater pricing increases and/or greater consumptions because of AI. **(C)** EBITDA margin is ~36%, lower than 63% for the ratings business because this segment requires more people and IT infrastructure to run. Ongoing maintenance expenses are incurred for the renewed production of data, software maintenance and customer support; enterprise software also require armies of salespeople, another labor cost; Moody's also has done a bunch of acquisitions and deployed reinvestments into these software to keep them fresh. **(D)** Margin also has experienced drag over the past several years because of on-premise to cloud migration of software stack Moody's selling to customers. This migration is several years in, and will likely take another few years, acting as a further drag but ultimately accretive to margin. **(E)** 30% of **r**evenue earned from Moody's Orbis database (charged on a usage basis) flows back to its data vendors as a royalty. I estimate Orbis database related revenue at 20-30% of the segment's total revenue.

	MA	MIS
Compensation	39.8%	26.3%
Non-compensation	21.6%	9.8%
AOI	33.1%	63.6%
D&A	10.9%	2.0%
Year-end headcount	7,803 (−4%)	6,128 (incl. ~2,000 at majority-owned affiliates, mainly ICRA)
Revenue per head	$463k	$704k
Comp per avg head	~$180k	~$191k

Moody's Moats

The greater moat lies with the ratings business. Demand for ratings is perpetual - because issuers are required to have them - and steadily grows - as debt issuance volume grows with time. The Moody's ratings moat is the most insulated against AI, whose debt rating don't count. Within ratings competitive landscape, Moody's moat is preserved by regulatory standards such as Dodd-Frank and European CRA which sought to increase competition but ironically resulted in onerous regulatory burden on lesser established rating agencies.

To wit, (i) Fitch has been a live example of hundreds of million invested but still a distant 3rd to S&P and Moody's, getting leftover business when big 2 are low on capacity; (ii) Morningstar: A genuine mid-tier player in Canada, Europe, certain US sectors, but not in the league of Moody's and S&P; (iii) Kroll: A nontrivial competitor using analytics and transparency as the edge. It's strong in structured credit and financial institutions, also the go-to for private credit because its looser requirements; (iv) AM Best is an insurance niche specialist, a formidable competitor in that line only; (v) Egan-Jones runs heavy-volume private-letter-

rating ops for insurance buyer but is under increasing SEC scrutiny, so possibly good for the other competitors. Holistically, the ratings market is really S&P and Moody's duopoly with marginal players occupying confined niche spaces.

The lesser moats are Moody's proprietary data and some of the software well embedded in various verticals, both within the analytics business. **(A)** The clearer moat lies with the Orbis database. This proprietary database is based on Moody's ratings on $80 trillion debt over 100 years and maintains detailed ownership and corporate structure info on 630 million entities globally. The data also requires physically fetching and then manually translating raw data unique sources into Moody's standardized data pool, creating higher hurdles for AI-only replicas. **(B)** The weaker moat lies with Moody's Bloomberg-like terminal software used by industry people, such as lending software used by banks or insurance models used by P&C underwriters. Moody's presence here are less entrenched because all these software have alternatives, but once a vendors software is implemented, it become embedded in a financial institution and switching to different vendor is tedious. In the age of AI, there is concern that proprietary software vendors may be supplanted by customers-built native AI apps, but my 2 counters are (i) I'm doubtful that even big corporations find it sensible to dispense with long used industry software to vibe-code their own AI software, let alone small firms without such capability; (ii) AI may strengthen some proprietary software embeddedness because the software are fed by proprietary data; Moody's a good data source, so Moody's will likely maintain its presence in customers software. **(C)** A note of caution, the same prop data and embedded software moat is wielded by Moody's competitors such as FactSet, LSEG, and S&P, Dun & Bradstreet, and Verisk.

What're NOT moats are**:** (A) In software and data (not ratings), customers don't care about brands; this is why Dun & Bradstreet which also has Orbis-like database can win against Moody's by dropping price; (B) some analytics around the data, which customers are developing internally, but want raw data from vendors like Moody's; **(C)** cross-sell of Moody's ratings business and its analytics business; the two divisions sells to different end users so there are not really revenue synergies.

Bullish Catalysts

Immediate growth of debt issuance. I think this unfolds in the next 3 to 5 years, driven by AI capex financing which also buoy unrelated economic and capital market activities. US AI debt constitutes $600 billion or 6% of the US investment grade debt market today. AI debt will grow in notional and percentage terms; as issuers increasingly take on debt, yield will rise, which means ratings agencies earn a higher fee per $ of volume. Non-AI debt should grow too because economic activities has been spurred by AI investments; further, well-acknowledge debt maturity/refinancing walls are expected in 2028-2029; refinancing will means more business for ratings agencies. The bottom line: ratings agencies including Moody's are expected to benefit from more business over the few years as barrage of new debt are issued.

$300-350 million annual cost savings. Management guided to company-wide program to achieve $300-$350 million of annual cost savings over the next several years. On a $8-$9 billion total revenue base, that's 3-4% improvement in company wide operating margin, which should take EBITDA from 51% in 2025 to 54-55% in a few years.

Select software growth. The insurance business ($700 million) and the KYC business ($500 million) constitutes 15% of Moody's total revenue. Both are expected to improve profitability in the coming years. (A) The insurance business grows at MSD organic per year but has 2/3 of customers using on-premise platform which is more costly for Moody's to operate. Moody's is migrating customers to the cloud, which should improve margin and increase Moody's pricing power (switching cost is higher for cloud than on-prem. (B) The KYC business enjoys tail wind because the world's becoming more balkanized. The need for sanction screening thus proliferating, benefiting Moody's KYC business which has only a 12-15% market share in a fragmented market. Plenty of white space to grow. Together, the improvements in these 2 divisions could add LSD percent to Moody's EBITDA ($4.2 billion in 2026) in the coming years.

Private credit growth. This is dodgier catalyst. Moody's may be slightly playing with fire with this one, but worth mentioning. The proliferation of private credit has benefited Moody's (rating fees earned on private credit is up 40% from Q2 2025 to Q2 2026), but the jury is still pending on the extent to which private credit cannibalizes conventional debt issuance, which are S&P and Moody's forte. Further, fringe ratings agency Kroll has found a niche in rating private credits by giving looser ratings standards. Nonetheless, I cautiously hold private credit as a marginal growth vector.

The optionality: AI usage monetization. As of Oct 2026, financial markets hold the AI-related consensus that the world has moved from bits to atoms, meaning the bottleneck in manifesting AI on earth presides not in the digital layer but in the physical layer - mostly building the datacenters, which also in turn require a slew of other things in shortage, like power, electronics, equipment, etc. I agree with this consensus but reckon that as the physical layer is de-bottlenecked, the sequential layer of shortage or scarcity will once again be found in the digital layer, wherein proprietary data will be coveted. To wit, AI is extremely data hungry. AI/agents consume extensive amount of data to work. The current shortage of compute is throttling AI usage ergo data consumption. Moody's like other info service companies is availing its dataset to other workflow platforms including AI vendors via 100 MCPs and plugins as of Q2 2026. The strategy is to broaden Moody's content via many distribution partners like channels. Moody's and its peers are also in the beginning of creating monetization schemes based on data usage. It's early days, but I believe when compute is inevitably no longer a shortage, AI agents will be going gangbusters on extensive data. This flux of AI data demand should in principal benefit data vendors, especially ones of proprietary origin, such as Moody's, London Stock Exchange, MSCI, and S&P. As the economic value of data increases while compute shortage eases, Moody's should benefit. While charging scheme of machine data consumption is in nascent stage and won't be fledged out until 2027 or 2028, I believe it's conceivable that Moody's analytics business organic growth rate increases from HSD to low-to-mid-teens in the coming years if the company can profitably monetize increased AI usage.

Vulnerabilities

At least several things may go wrong for Moody's.

Acute decline in debt issuance activities. This is the most substantive risk for Moody's. It's inherently not a structural risk but will create short term pain. While 1/3 of Moody's ratings revenue is recurring and earned as long as a rated debt is outstanding, 2/3 ratings revenue are onetime fee made only when a new debt is issued. This means 2/3 of ratings revenue is beta to capital market activities. When a slow year hit, like when rates went up in 2022, transactional ratings revenue declined 40%, and Moody's total revenue fell 12% that year. Another such years are only inevitable. The ratings business is currently at a cyclical high. And given the world may have embarked on a interest rate hike trajectory, Moody's can see another episode of sharp ratings transactional revenue decline, in the double digits, that will mean total revenue can fall in the neighborhood of 10-20% and EPS can fall triple that given operating leverage. The stock could drop 10-30%.

AI supplanting Moody's software. This is SaaSpocalypse expressed in Moody's. Indeed, some credence should be lend to this worry. The essence is that AI may (i) reduce headcounts at institutions, this in turn weighs on Moody's $1 billion Bloomberg-like terminal business that charges on a per-seat basis. (ii) Increasingly, customers favors developing their own analytics around the raw data still purchased from vendors like Moody's. This also cuts into analytics business, again choking the $1 billion Moody's-terminal business. (iii) Finally, if AI platforms become a new layer in financial software, they may siphon pricing power and network effect formerly accrued to data/software vendors. Thus far, how much AI eviscerate software like Bloomberg is too early to tell, only worry percolates, but if AI can weigh on these software business models, Moody's analytics segment will be affected: the $1 billion terminal business will suffer the most; the $2 billion bank, insurance, and KYC software will see a mix-bag of disturbances; the $1 billion data business may be relatively unscathed on an optimistic projection. AI will be a structural risk for companies like Moody's.

Bank software business wobbles. The $600 million bank software business purportedly still employs some archaic, legacy technology and software. From what I read, it's not the best product and has lost accounts to to Dun & Bradstreet. President and CRO of MA also gone to competitors. Nothing fatal, but some operating turbulence detected. This business grew low single digits last 3 years and could be a drag on performance.

Exposure to private credit. Exposure to private credit bears drawbacks. Moody's proximity to private credit and its ratings reputation damage shall be commensurately related if private credit were to falter. The more involved Moody's is in private credit the greater the stain on Moody's if private credit tanks. Private credit standards may be tenuous to Moody's rating standards. Said simply, Moody's in private credit is a bit like playing with fire.

Forecast

The ratings business and the analytics business should be forecasted separately because the two divisions are operationally siloed and caters to different customers, with little cross sell synergies.

For the recurring revenue in the ratings business, growth has been steady, unbeholden to fluctuations yearly debt issuance flows. I assume recurring revenue growth are in the 5-6% over the next from 2026 to 2028, a bit above the 4.5% 10 year because we are in a AI capex boom.

MIS Recurring Rev	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Public Bonds	356.8	380.7	416.0	440.0	456.0	487.0	497.0	517.0	535.0	575.6	615.9	652.8	685.5
Securitizations	167.4	175.3	185.5	181.0	187.0	198.0	200.0	215.0	226.0	245.5	257.8	270.7	284.2
Financials	231.6	241.1	254.5	264.0	265.0	282.0	280.0	291.0	309.0	334.0	354.0	375.3	397.8
Public & infras	154.3	152.9	153.5	154.0	159.0	167.0	168.0	175.0	180.0	196.9	212.7	227.5	241.2
Total Transactions	**910.1**	**950.0**	**1,009.5**	**1,039.0**	**1,067.0**	**1,134.0**	**1,145.0**	**1,198.0**	**1,250.0**	**1,352.0**	**1,440.4**	**1,526.3**	**1,608.7**

MIS Recurring Rev	Avg.	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Public Bonds	5.5%	6.7%	9.3%	5.8%	3.6%	6.8%	2.1%	4.0%	3.5%	7.6%	7.0%	6.0%	5.0%
Securitizations	4.4%	4.7%	5.8%	-2.4%	3.3%	5.9%	1.0%	7.5%	5.1%	8.6%	5.0%	5.0%	5.0%
Financials	4.2%	4.1%	5.6%	3.7%	0.4%	6.4%	-0.7%	3.9%	6.2%	8.1%	6.0%	6.0%	6.0%
Public & infras	2.8%	-0.9%	0.4%	0.3%	3.2%	5.0%	0.6%	4.2%	2.9%	9.4%	8.0%	7.0%	6.0%
Total Transactions	**4.5%**	**4.4%**	**6.3%**	**2.9%**	**2.7%**	**6.3%**	**1.0%**	**4.6%**	**4.3%**	**8.2%**	**6.5%**	**6.0%**	**5.4%**

For the transaction revenue component of the ratings business, I assume strong volume growth and moderate fees charged on debt issuance.

1. DISCLOSED % CHANGE IN RATED ISSUANCE VOLUMES (y/y, as reported in each 10-K)	2021	2022	2023	2024	2025	2026	2027	2028
Total MIS rated issuance	+9%	-31%	+5%	+42%	+7%	+10%	+7%	+6%
Investment grade	-36%	-31%	+17%	+29%	+22%	+25%	+10%	+5%
High-yield bonds	+12%	-73%	+32%	+80%	+22%	+20%	+15%	+15%
Leveraged loans	+104%	-51%	+6%	+118%	+3%	+5%	+5%	+5%
Structured finance	+123%	-35%	-27%	+57%	-1%	+5%	+5%	+5%
Financial institutions	+13%	-7%	+6%	+20%	-1%	+2%	+2%	+2%
Public, project & infra	-20%	-17%	+6%	+24%	+8%	+10%	+10%	+10%

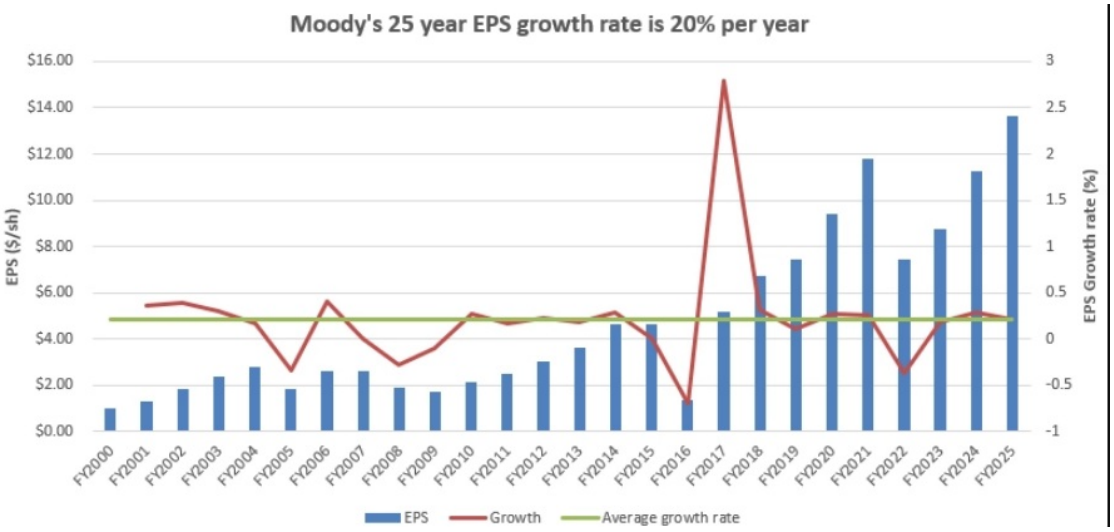
6. Growth of IMPLIED FEE-YIELD INDEX = revenue index / issuance index (2020 = 100)	2020 Weight Assumptions	2021	2022	2023	2024	2025	2026	2027	2028	CAGR 20-25
Total MIS rated issuance	100.01%	11.0%	-17.1%	3.1%	8.3%	1.8%	0.7%	0.7%	0.5%	
Investment grade	31.63%	7.9%	-2.9%	-2.6%	12.9%	-3.8%	-3.0%	-2.0%	-3.0%	**+0.9%**
High-yield bonds	8.29%	4.3%	-2.7%	5.2%	5.6%	-6.8%	-5.0%	-5.0%	-5.0%	**+2.1%**
Leveraged loans	13.25%	3.5%	-7.4%	0.2%	-17.2%	-7.3%	-5.0%	-5.0%	-5.0%	**+1.0%**
Structured finance	5.13%	-7.2%	11.3%	-0.7%	-2.1%	8.1%	+5.0%	+5.0%	+5.0%	**-5.9%**
Financial institutions	15.34%	6.9%	-29.1%	13.6%	37.1%	2.7%	+2.0%	+2.0%	+2.0%	**+1.7%**
Public, project & infra	14.59%	31.3%	-10.5%	8.0%	2.9%	5.6%	+6.0%	+5.0%	+4.0%	**+3.9%**

For the analytics business, I assume ~10% organic growth (in line with 9% in the past 10 years). I don't believe it's worth the effort to granularly model out revenue by different sub divisions because Moody's reorganizes how it reports these sub-business every 5 to 10 years. For 2026 to 2028, a 40% incremental margin is assumed as it's the past 10 year average.

($m unless noted)		FY2016	FY2017	FY2018	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028
Annual Report Link		Link	Link	Link	Link	Link	Link	Link	Link	Link	Link			
Incremnto	29.4%	13.0%	27.3%	40.7%	38.6%	72.8%	18.3%	47.7%	32.8%	42.3%	50.3%	45.0%	44.3%	40.0%
Growth	26.9%	7.2%	16.0%	21.0%	12.9%	6.4%	15.7%	15.1%	10.4%	7.8%	9.2%	5.0%	11.0%	11.0%
Moody's Analytics		**1,233.4**	**1,430.3**	**1,730.3**	**1,954.0**	**2,079.0**	**2,406.0**	**2,769.0**	**3,056.0**	**3,295.0**	**3,599.0**	**3,779.0**	**4,194.6**	**4,656.0**
Opex SG&A		-860.9	-983.3	-1,158.9	-1,289.0	-1,324.0	-1,621.0	-1,763.0	-1,946.0	-2,101.0	-2,217.0	-2,343.0	-2,574.4	-2,851.2
Reorg related		-1.8	-22.5	-24.8	-32.0	-31.0	-1.0	-49.0	-59.0	-42.0	-77.0	-50.0	-50.0	-50.0
Adj. Income		370.7	424.5	546.6	633.0	724.0	784.0	957.0	1,051.0	1,152.0	1,305.0	1,386.0	1,570.3	1,754.8
Cash Margin		**30.1%**	**29.7%**	**31.6%**	**32.4%**	**34.8%**	**32.6%**	**34.6%**	**34.4%**	**35.0%**	**36.3%**	**36.7%**	**37.4%**	**37.7%**
Dep Amort		-52.9	-83.6	-127.0	-129.0	-150.0	-185.0	-250.0	-298.0	-353.0	-393.0	-377.9	-419.5	-465.6
Impairments		-371.0	-424.8	-546.9	-653.3	-733.3	-784.3	-957.3	-1,051.3	-1,195.3	-1,308.4			
Dep Amort		-4.3%	-5.8%	-7.3%	-6.6%	-7.2%	-7.7%	-9.0%	-9.8%	-10.7%	-10.9%	-10.0%	-10.0%	-10.0%
Adj. Margin		25.8%	23.8%	24.3%	25.8%	27.6%	24.9%	25.5%	24.6%	24.2%	25.3%	26.7%	27.4%	27.7%

Discounted Cash Flow

Moody's grew EPS like clockwork for over 2 decades. Average EPS growth rate is 20%. There are some financial engineering involved and buybacks contributed to the clean results, but looking at even using free cash flow per share (including restructuring charges) the results arrive at a similar, consistent, 20% CAGR for 20 years.



For cost of equity, I use 10.7% for Moody's. Debt cost is 3.2%.

Cost of Equity			Beta	5 years		10 years	
ERP	4.14%	Damodaran	Calc	weekly	monthly	weekly	monthly
Beta	1.30	Est.	Raw	1.21	1.32	1.19	1.25
Adj.	1.20	Est.	Adj.	1.14	1.21	1.13	1.17
Risk Free	5.28%	10yr treasury yld					
			As of	4-Oct-26			
CoE	10.66%						
Adj.	10.24%						

Cost of Debt			
Notes Payable:	Principal Amount	Carrying Value	Interest
5.25% 2014 Senior Notes, due 2044	600	580	5.25%
1.75% 2015 Senior Notes, due 2027	571	571	1.75%
3.25% 2017 Senior Notes, due 2028	500	498	3.25%
4.25% 2018 Senior Notes, due 2029	400	376	4.25%
4.875% 2018 Senior Notes, due 2048	400	369	4.88%
0.950% 2019 Senior Notes, due 2030	857	854	0.95%
3.25% 2020 Senior Notes, due 2050	300	294	3.25%
2.55% 2020 Senior Notes, due 2060	300	295	2.55%
2.00% 2021 Senior Notes, due 2031	600	593	2.00%
2.75% 2021 Senior Notes, due 2041	600	585	2.75%
3.10% 2021 Senior Notes, due 2061	500	489	3.10%
3.75% 2022 Senior Notes, due 2052	500	457	3.75%
4.25% 2022 Senior Notes, due 2032	500	493	4.25%
5.00% 2024 Senior Notes, due 2034	500	492	5.00%
Total debt	**7,128**	**6,946**	**3.19%** Cost of Debt
Current portion		571	3.00%

My bear case assumes Moody's grows at 8% bottom line for the next 10 years, then 5% for year 10-20, then 3-4% for year 21 to 30, then 2% after year 30. The NPV is $415/sh, not much downside from where it's trading now.

Current Value		
Equity	76,444	$441.36
Net Debt	5,591	$32.28
Total	**82,035**	**$473.64**
Discount Rate		**10.15%**
Terminal rate		9.76%
WACC	**Amt**	**Rate**
Equity	76,444	10.66%
Debt	5,591	3.19%
EV	**82,035**	**10.15%**
Net Present Value		
Equity	66,323	$382.93
Net Debt	5,591	$32.28
Total	**71,914**	**$415.21**
Return		-13%

DISCOUNTED CASH FLOW OVER 30 YEARS

Year	0	1	2	3	4	5	6	7	8	9	10
Date	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Firm Cash	**2,991**	**3,279**	**3,541**	**$3,860**	**$4,207**	**$4,586**	**$4,907**	**$5,250**	**$5,618**	**$6,011**	**$6,432**
Growth		9.6%	8.0%	9.0%	9.0%	9.0%	7.0%	7.0%	7.0%	7.0%	7.0%
Dis Fctor	1.00	1.10	1.21	1.34	1.47	1.62	1.79	1.97	2.17	2.39	2.63
NPV	2,991	2,977	2,919	2,888	2,858	2,828	2,747	2,669	2,593	2,518	2,446

Year	11	12	13	14	15	16	17	18	19	20	
Date	2037	2038	2039	2040	2041	2042	2043	2044	2045	2046	
EPS	**$6,753**	**$7,091**	**$7,445**	**$7,818**	**$8,208**	**$8,619**	**$9,050**	**$9,502**	**$9,977**	**$10,476**	
Growth	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	
Dis Fctor	2.90	3.19	3.51	3.87	4.26	4.69	5.17	5.70	6.27	6.91	
NPV	2,332	2,223	2,119	2,020	1,926	1,836	1,750	1,668	1,590	1,516	

Year	21	22	23	24	25	26	27	28	29	30	Terminal value
Date	2047	2048	2049	2050	2051	2052	2053	2054	2055	2056	2056
EPS	**$10,895**	**$11,331**	**$11,784**	**$12,256**	**$12,746**	**$13,192**	**$13,654**	**$14,132**	**$14,626**	**$15,138**	**$185,789**
Growth	4.0%	4.0%	4.0%	4.0%	4.0%	3.5%	3.5%	3.5%	3.5%	3.5%	2.0%
Dis Fctor	7.61	8.38	9.24	10.17	11.21	12.34	13.59	14.97	16.49	18.17	16.35
NPV	1,431	1,351	1,276	1,205	1,137	1,069	1,004	944	887	833	11,361

My base case assumes Moody's grow at its historical 10% rate for the next 10 years; then 8% for the next 10, then 5% the next 10, dropping to 2% thereafter. It's a 20% upside.

Current Value		
Equity	76,444	$441.36
Net Debt	5,591	$32.28
Total	**82,035**	**$473.64**
Discount Rate		**10.15%**
Terminal rate		9.76%
WACC	**Amt**	**Rate**
Equity	76,444	10.66%
Debt	5,591	3.19%
EV	**82,035**	**10.15%**
Net Present Value		
Equity	90,881	$524.72
Net Debt	5,591	$32.28
Total	**96,472**	**$557.00**
Return		19%

DISCOUNTED CASH FLOW OVER 30 YEARS

Year	0	1	2	3	4	5	6	7	8	9	10
Date	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Firm Cash	**2,991**	**3,279**	**3,541**	**$3,895**	**$4,285**	**$4,713**	**$5,184**	**$5,703**	**$6,273**	**$6,900**	**$7,590**
Growth		9.6%	8.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%
Dis Fctor	1.00	1.10	1.21	1.34	1.47	1.62	1.79	1.97	2.17	2.39	2.63
NPV	2,991	2,977	2,919	2,915	2,911	2,907	2,903	2,899	2,895	2,891	2,887

Year	11	12	13	14	15	16	17	18	19	20	
Date	2037	2038	2039	2040	2041	2042	2043	2044	2045	2046	
EPS	**$8,197**	**$8,853**	**$9,562**	**$10,326**	**$11,153**	**$12,045**	**$13,008**	**$14,049**	**$15,173**	**$16,387**	
Growth	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	
Dis Fctor	2.90	3.19	3.51	3.87	4.26	4.69	5.17	5.70	6.27	6.91	
NPV	2,831	2,776	2,722	2,669	2,616	2,565	2,515	2,466	2,418	2,371	

Year	21	22	23	24	25	26	27	28	29	30	Terminal value
Date	2047	2048	2049	2050	2051	2052	2053	2054	2055	2056	2056
EPS	**$17,206**	**$18,066**	**$18,970**	**$19,918**	**$20,914**	**$21,960**	**$23,058**	**$24,211**	**$25,421**	**$26,692**	**$327,590**
Growth	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	2.0%
Dis Fctor	7.61	8.38	9.24	10.17	11.21	12.34	13.59	14.97	16.49	18.17	16.35
NPV	2,260	2,155	2,054	1,958	1,866	1,779	1,696	1,617	1,541	1,469	20,032

My bull case assumes Moody's growth at all years ups a few percentage, from AI data usages and improving operating leverage that comes with it. 55% upside.

Current Value		
Equity	76,444	$441.36
Net Debt	5,591	$32.28
Total	**82,035**	**$473.64**
Discount Rate		**10.15%**
Terminal rate		9.76%
WACC	**Amt**	**Rate**
Equity	76,444	10.66%
Debt	5,591	3.19%
EV	**82,035**	**10.15%**
Net Present Value		
Equity	118,568	$684.57
Net Debt	5,591	$32.28
Total	**124,159**	**$716.85**
Return		55%

DISCOUNTED CASH FLOW OVER 30 YEARS

Year	0	1	2	3	4	5	6	7	8	9	10
Date	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Firm Cash	**2,991**	**3,279**	**3,541**	**$3,984**	**$4,481**	**$5,042**	**$5,672**	**$6,381**	**$7,178**	**$8,076**	**$9,085**
Growth		9.6%	8.0%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%
Dis Fctor	1.00	1.10	1.21	1.34	1.47	1.62	1.79	1.97	2.17	2.39	2.63
NPV	2,991	2,977	2,919	2,981	3,044	3,109	3,176	3,244	3,313	3,384	3,456

Year	11	12	13	14	15	16	17	18	19	20	
Date	2037	2038	2039	2040	2041	2042	2043	2044	2045	2046	
EPS	**$9,994**	**$10,993**	**$12,092**	**$13,302**	**$14,632**	**$16,095**	**$17,705**	**$19,475**	**$21,422**	**$23,565**	
Growth	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	
Dis Fctor	2.90	3.19	3.51	3.87	4.26	4.69	5.17	5.70	6.27	6.91	
NPV	3,451	3,447	3,442	3,437	3,433	3,428	3,424	3,419	3,414	3,410	

Year	21	22	23	24	25	26	27	28	29	30	Terminal value
Date	2047	2048	2049	2050	2051	2052	2053	2054	2055	2056	2056
EPS	**$24,743**	**$25,980**	**$27,279**	**$28,643**	**$30,075**	**$31,579**	**$33,158**	**$34,816**	**$36,557**	**$38,384**	**$471,085**
Growth	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	2.0%
Dis Fctor	7.61	8.38	9.24	10.17	11.21	12.34	13.59	14.97	16.49	18.17	16.35
NPV	3,250	3,098	2,954	2,816	2,684	2,559	2,439	2,325	2,216	2,113	28,807

In conclusion: There's not much downside to Moody's at this level, barring a transient debt issuance disturbances that will pass. I take an more optimistic view on AI's impact on Moody's, envisioning massive AI data usages will benefit Moody's business.

Thesis Busters

My bullish thesis on would be invalidated if the following indicators appear.

The analytics segment sputters. Operationally, AI should benefit Moody's internal cost structure as it does for customers. Suppose revenue maintains steady rate, operating margin for Moody's should improve from the $300-350 million cost savings and workers more efficiently perform tasks. If margins declines while revenue stays the same or grows, something is definitely wrong. If margins declines while revenue declines, something is still wrong as such would indicate the loss of pricing power or reduced demand. My bullish thesis on Moody's relies substantively on AI usage actually being a headwind for Moody's or

at least not hurtful. Lesser profitability of the analytics business imperatively weakens my bullish thesis.

Ratings fees declines. Ratings revenue is the product of (a) debt volume; and (b) fees charged on every dollar of debt. Even assuming debt volume grows and that Moody's does not lose business to other rating agencies - this is unlikely given the moat - it's possible for revenue to drop if fees drop. Moody's fees on different kinds of debt has grown at 1-4% over the past few years, except structured products (mortgages etc) which is still not back to pre-2008 levels. I'd be vigilant on fees development. They could be canary in the coal mine for underlying issues. As of Q2/26, management has increased full year 2026 issuance guidance without increasing growth guidance. This suggests lower yield on issuance volume, as evidenced by Q2 2026 management comment that large data-center and financials transaction reduced average yield.

Within analytics, the terminal business really losing steam. The $1 billion Bloomberg-like terminal business within Moody's is the most emblematic representation of how AI may impact software business. Revenue decline in this line should be deemed a valid proof that AI is indeed taking eating software vendor's lunch. If so, this will eat into the $4 billion analytics business.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

AI capex driven increase in debt issuances, good for ratings business.

Software sales increasing from KYC business, insurance software to the cloud

Cost savings 350 million.

AI data usage increases

Messages

No messages